Department of Economics
University of Arkansas
Spring 2014

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Tue/Thu 11.00 - Noon

# ECON 3843 - Development Economics*
# 9.30 - 10.45AM Tue/Thu, WJWH 303

## 1 Course Description

This course is an introduction to development economics, which is the branch of economics that study how living standards might improve and processes and policies could help bring this about in low-income countries. The main bulk of the course builds a rigorous theoretical framework to study this issue and examines the relevant empirical evidence. The theoretical framework will be built up from the foundations of microeconomic theory, and therefore requires familiarity with the foundations of microeconomics.†. Meanwhile, in the latter part of the course will focus on the World Bank and IMF, where we will examine the World Bank and IMF history, their contemporary roles, and their success and failures in fostering development and stability.

## 2 Textbook

Julie Schaffner. *Development economics: theory, empirical research, and policy analysis.* Wiley, Hoboken, 2013. ISBN 9780470599396.

## 3 Requirements and Grading Policy

Grading for the course will be based on 3 problem sets (24%), 2 quizzes (15%), the group project (16%), and the midterm (20%) and final exams (25%). Letter grades will be assigned based on the total score. All students are expected to complete all problem sets, quizzes, and exams.

**The problem sets** are due at the beginning of class, usually one week after they are assigned and they will be difficult. Students are encouraged to work in groups on problem sets, but it is in your interest to make a best effort to solve each problem. Obviously, each student must hand in his or her own set of answers. Missing or late problem sets will not be graded.

**The quizzes** will be held during class time, tentatively on the weeks of February 4th and March 18th. It will typically be held at the end of the class, and will include materials that have not been covered by either a previous quiz or exam.

**The group project** requires that your group (i) presents an empirical analysis of a research question, and (ii) critically analyzes the evidence presented by another group on a particular topic. Groups will consist of between 6-7 people. The presentations will be held in the last two weeks of the semester.

**The midterm exam** will be held during class time on March 6th. **The final exam** will be held on May 8th, between 8.00-10.00AM. The final exam will be comprehensive and they will be closed book.

*Also known as "Economic Development, Poverty, & the Role of the World Bank and IMF in Low-Income Countries"

†As an illustration of the level of understanding necessary, take a look at Chapter 6 of the textbook

## 4 Tentative Schedule

| Week | Topic | Readings |
|---|---|---|
| 1 | Introduction & Understanding Well-Being | Schaffner (2013, Ch. 1-2) |
| 2 | Economic Growth, Poverty & Inequality | Schaffner (2013, Ch. 3, 5) |
| 3 | Policy Analysis | Schaffner (2013, Ch. 14, Appendix A) |
| 3-4 | Consumer Theory | Schaffner (2013, Ch. 6) |
| 5 | Households | Schaffner (2013, Ch. 7) |
| 6-7 | Markets | Schaffner (2013, Ch. 8-9) |
| 8 | **Review + Midterm** | |
| 9-10 | International Trade & Financial Markets | Schaffner (2013, Ch. 10-11) |
| 11 | **Spring Break** | |
| 12-13 | Institutions & Political Economy | Schaffner (2013, Ch. 12-13) |
| 14 | The World Bank and IMF | Slides |
| 15-16 | Project Presentations | |

## 5 Academic Dishonesty

Students are expected to adhere to the Universitys policy regarding academic honesty. It is explained in the Catalog of Studies, and can be found online at: http://catalogofstudies.uark.edu/1213-Undergraduate_Catalog-1.pdf

## 6 Accommodations for Students with Disabilities

University of Arkansas Academic Policy requires that students with disabilities are provided reasonable accommodations to ensure their equal access to course content. If you have a documented disability and require accommodations, please contact me privately at the beginning of the semester to make arrangements for necessary classroom adjustments. Please note, you must first verify your eligibility for these through the Center for Educational Access (contact 479-575-3104 or visit http://cea.uark.edu for more information on registration procedures).

## 7 Inclement Weather Policy

In case of severe weather, a notification will be sent out via Blackboard regarding cancellation of any class. Further instructions regarding the make-up of missed class will also be posted on the Blackboard site.

## 8 Emergency Procedures

Many types of emergencies can occur on campus; instructions for specific emergencies such as severe weather, active shooter, or fire can be found at http://emergency.uark.edu.